Digital Payments and Behavioural Change: The Impact of UPI on Consumer Spending in India

1. Introduction

The way Indians pay for things has changed enormously in just a few years, largely thanks to the rise of digital payment systems. Chief among these is the Unified Payments Interface (UPI), built by the National Payments Corporation of India (NPCI), which lets users move money between bank accounts in seconds through a phone. Compared to fumbling with cash or swiping a card, UPI is quicker, simpler, and increasingly hard to imagine daily life without.

Since UPI launched, both the number of transactions and the total money moving through the system have climbed steadily. Apps like Google Pay, PhonePe, and Paytm are now woven into daily routines, used for everything from a five-rupee cup of tea to a big-ticket purchase. What used to be a cash-first economy has, in a remarkably short time, become a digital-first one.

But this isn't just a story about technology adoption; it's also a story about psychology. Because UPI removes so much of the friction from spending, it changes how people relate to their own money. When paying takes three seconds and barely any thought, spending itself starts to feel different: faster, more automatic, and less deliberate than it used to be.

This paper looks at exactly that shift: how UPI's growth has reshaped the way Indians spend. Rather than simply tracking the rise in digital transactions, it tries to get at the "why" behind changing spending habits: the role convenience plays, the effort that disappears from a transaction, and the psychological nudges that quietly steer everyday financial decisions.

2. Growth of Digital Payments in India

Over the past few years, digital payments in India have grown very quickly, with UPI at the center of it all. NPCI's own figures tell a consistent story: both the number and the value of UPI transactions keep climbing year after year.

The scale is striking. UPI went from modest beginnings to monthly transaction volumes crossing 13 billion by 2024, with the total value running into several lakh crore rupees. Numbers like that make it clear digital payments haven't just caught on; they've become the norm.

The banking side of the story matters too. Where roughly 100 to 150 banks were connected to UPI in its early years, that number has since grown past 500. That expansion opened the door for far more people across the country to actually use UPI, which in turn fed its own growth.

Cash hasn't disappeared, but it has clearly lost ground. UPI is no longer reserved for big-ticket purchases; it shows up just as often in a twenty-rupee tea stall payment as in a major electronics purchase, which says a lot about how thoroughly digital payments have settled into everyday spending.

One particularly telling detail is the average transaction size. It rose from around ₹1,200 in 2018 to nearly ₹1,800 to ₹1,900 by 2021, before settling back down to about ₹1,400 in 2025. Read one way, that dip suggests UPI has moved beyond big payments and is now handling the small, frequent, everyday ones just as comfortably.

Taken together, these numbers point to something bigger than a rise in digital transactions: they point to a real shift in how people pay for things day to day. That widespread adoption is the backdrop against which the rest of this paper looks at how digital payments are shaping consumer behaviour.

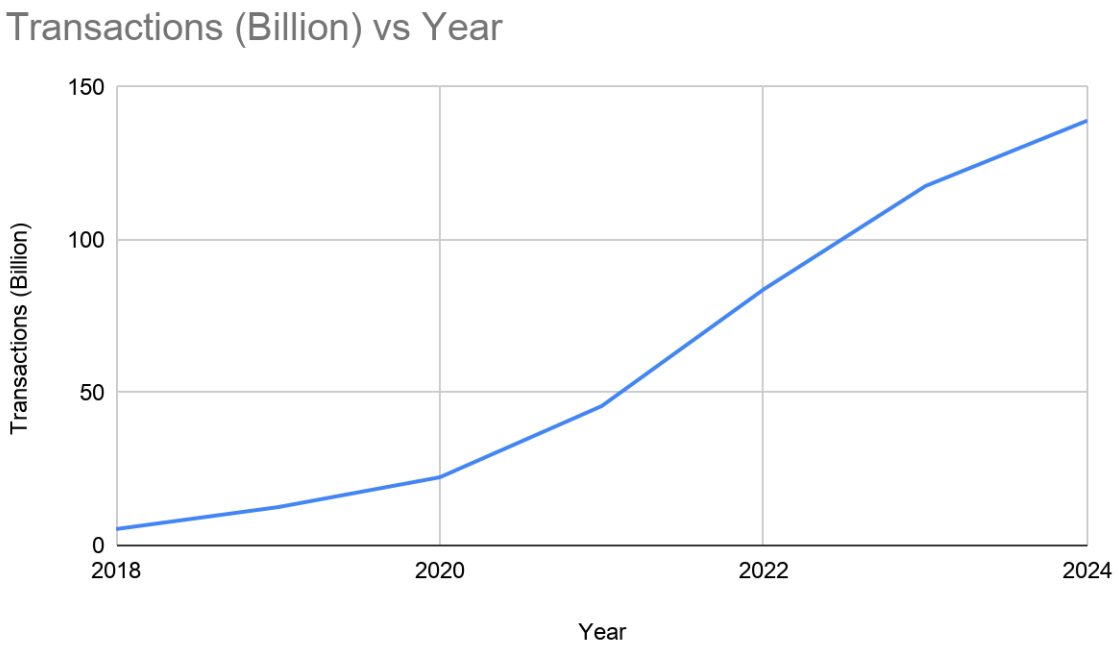


Figure 1. Annual UPI transaction volume in India, 2018–2024 (billions of transactions)
Source: NPCI

Figure 1 tells the growth story at a glance: UPI transactions in India climbed steadily from 2018 to 2024, with the pace picking up noticeably after 2020. That steep upward curve is hard to read as anything other than digital payments becoming the default way people pay.

It also reflects a change in kind, not just scale. UPI stopped being something people reached for occasionally and became part of routine, everyday spending, both big and small.

3. Behavioural Changes in Spending

3.1 Increased Spending Due to Ease of Payment

UPI has made paying for things so quick and frictionless that it barely registers as an action anymore. Handing over cash forces a small moment of awareness: you feel the money leave your hand. Tapping through a UPI payment in three seconds doesn't carry that same weight, and that difference matters more than it might seem.

Behavioural economists call this the "pain of paying," the psychological discomfort that comes with spending money, which is naturally stronger with cash than with a digital tap. UPI dulls that

discomfort considerably, since no physical exchange ever happens. With less friction and less felt loss, people are freer to spend without pausing to weigh each transaction.

The upshot is that spending decisions happen faster and with less deliberation. People hesitate less before paying, especially for everyday, low-stakes purchases. Individually these transactions barely register, but added up over time, they nudge overall spending upward.

3.2 Impulse Purchases

That same speed and ease also opens the door to more impulse buying. Because a UPI payment completes almost instantly, there's rarely a natural pause to ask "do I actually need this?" Cash used to build that pause in (counting notes, waiting for change), but digital payments skip it entirely.

Small amounts compound this effect. A ₹20, ₹50, or ₹100 payment doesn't feel like much in the moment, which makes it easy to say yes without a second thought. This shows up constantly in ordinary life: ordering food on impulse, grabbing something small at a local shop, adding one more item at checkout.

The tricky part is that these small decisions rarely feel like "spending" individually, so people often lose track of how often they're doing it. Over time, though, a string of small, spontaneous purchases adds up to something substantial. This is a clear sign of how UPI nudges behavior from planned buying toward more spur-of-the-moment decisions.

3.3 Reduced Budget Awareness

Cash has one underrated feature: you can physically watch it run out, which makes tracking spending almost automatic. Digital money offers no such visual cue, so it's harder to notice, in the moment, how much is going out.

As a result, small purchases tend to slip under the radar. A ₹50 or ₹100 payment rarely feels worth tracking on its own, so people let it pass without registering it as "real" spending, even as these transactions pile up throughout the day.

Often, the moment of reckoning only arrives when someone checks their bank balance and finds it lower than expected. By then, a long trail of small, forgettable transactions has already added up. It's a quiet illustration of how digital payments can erode the everyday awareness that once came built into spending cash.

3.4 Habit Formation

Repetition breeds habit, and UPI gets used so often (for food, travel, shopping, and everything in between) that it stops being a conscious choice and becomes second nature. What starts as "this is convenient" quietly turns into "this is just how I pay."

Over time, people default to UPI almost automatically, reaching for a QR code without really weighing other options. Cash starts to feel like a backup plan, something used only when there's genuinely no other choice.

That repetition creates its own kind of dependency. Because UPI asks so little of the user (no counting, no change, no real friction), it becomes the path of least resistance for nearly every

transaction. And when paying takes almost no effort, it's not just how people pay that changes, but how often they end up spending in the first place.

4. Social and Cultural Impact

UPI hasn't just changed how transactions happen; it's worked its way into everyday conversation. "I'll send it on UPI" or "just GPay it" have become common phrases, a small but telling sign of how deeply digital payments have embedded themselves in daily life.

Splitting a bill is a good example of this shift. Whether it's a restaurant tab, a shared cab, or chipping in for a group gift, dividing costs used to mean fumbling with cash and change. Now it's a matter of a few taps. This is especially visible among students and young adults, where one person pays upfront and everyone else settles their share instantly.

Small vendors and local businesses have embraced UPI just as enthusiastically. Street food stalls, neighbourhood shops, and auto-rickshaw drivers routinely display QR codes now, which means even the smallest transactions can go cashless. Plenty of people don't carry cash anymore, trusting their phone to handle it all.

Picture a group of friends grabbing dinner. A few years ago, this meant someone doing mental math over who owes what, or scrambling for change. Now, one person pays the bill and the rest transfer their share within seconds. What used to be a small logistical hassle has become almost invisible.

In short, UPI has outgrown its original job as just a payment system. It's shaped how people talk, how they split costs, and how they think about money in social settings, quietly becoming part of the texture of everyday life.

5. Positive Effects

UPI's biggest, most obvious win is convenience. Transactions that once meant hunting for exact change or waiting in a queue now take seconds on a phone, making everyday payments noticeably smoother.

It has also done real work for financial inclusion. Street vendors, small shop owners, and people who previously had little connection to formal banking now transact digitally as a matter of course. Walk through any local market and you'll see QR codes taped up next to vegetable stalls and tea stands alike, proof of how far this reach extends.

Because every UPI transaction leaves a digital trail, it has also made spending far more transparent. People can look back at exactly where their money went, which makes budgeting easier and cuts down on the kind of small errors that cash is prone to.

Carrying cash has become far less necessary. For transport, food, or shopping, a phone now does the job cash used to, which is not just convenient but often safer, particularly in situations where carrying cash isn't practical or wise.

Altogether, these shifts have made everyday financial transactions simpler, more accessible, and more efficient for a huge number of people.

6. Negative Effects

The flip side of convenience is that it's easy to overspend. When paying takes no real effort, people spend more often without pausing to register each transaction, which is a sharp contrast to cash, where spending is unavoidably tangible.

Saving habits take a hit too. Small payments feel inconsequential in isolation, so people often underestimate their running total. Multiply that across a day or a month, and the gap between perceived and actual spending can be significant, enough that some people find it harder to stay on budget than they did with cash.

Digital payments also come with a new category of risk: fraud. As more people rely on UPI, phishing attempts, fake payment requests, and other scams have become more common, and not everyone, especially those newer to digital payments, is equipped to spot them.

Finally, when spending is this frictionless, financial discipline can quietly erode. Decisions get made quickly, sometimes too quickly to properly weigh whether an expense is actually necessary, which over time can chip away at good budgeting habits.

7. Real-Life Example

A simple example makes this easier to picture. Consider a student who used to rely on cash, carrying, say, ₹100 or ₹200 for the day. Once that money ran out, spending stopped by default; the cash itself set a natural limit.

UPI removes that built-in ceiling. The same student can now make several small payments across the day, ₹20 for a snack, ₹50 for an auto ride, ₹100 for lunch, without any single one feeling significant. Each payment, taken alone, seems perfectly manageable.

The catch is that the total often stays invisible until the student checks their account balance later, only to find those small, frequent payments added up to more than expected. It's a small but clear illustration of how digital convenience can quietly chip away at spending awareness.

8. Analysis and Insight

What UPI's rise really demonstrates is that a change in technology can produce a change in behaviour. As payments get faster and easier, the effort behind spending shrinks, and with it, the amount of thought people put into each transaction compared to when cash was the norm.

Part of the explanation lies in how little digital payments engage us mentally. Handing over cash is a physical, felt experience, money visibly leaves your hand. A UPI payment, by contrast, happens on a screen in an instant, and that reduced physical presence makes spending feel less like a decision and more like a reflex.

With that awareness dulled, financial choices tend to become quicker and less considered. Convenience and habit start doing more of the deciding than deliberate thought does, something visible in how often people make small payments without quite tracking how frequently they're doing it.

Multiply that across weeks and months, and small shifts start adding up to something bigger. Rather than fewer, larger, more deliberate purchases, spending shifts toward many small, frequent ones. Each transaction looks trivial on its own, but the cumulative effect is anything but.

The bigger takeaway is that UPI hasn't just changed how people pay; it's changed how they think about money. Spending has become more immediate and less reflective, guided more by ease than by intention. It's a good reminder that even a straightforward technological upgrade can reshape financial behaviour in ways that aren't always obvious at first glance.

9. Conclusion

UPI has unmistakably transformed how India pays. What began as a convenient digital payment option has become a routine part of everyday life, showing up in transactions large and small alike, which shows just how deeply it's been adopted.

But the story here isn't only about technology. As digital payments got faster and easier, they also began quietly reshaping how people think about spending. Less effort and less awareness per transaction have combined to shift spending habits, often without people fully noticing how much the total adds up to.

To be fair, UPI's benefits are real: convenience, accessibility, and a meaningful boost to financial inclusion. It has made transactions simpler and more efficient for enormous numbers of people. But those same qualities have brought real trade-offs too: overspending, weaker budget awareness, and a growing reliance on digital systems.

That tension between convenience and control is the crux of it. UPI makes transactions effortless, but that same effortlessness asks more of people in return: a bit more conscious attention to their own spending habits. Without that awareness, ease can quietly slide into less disciplined financial behaviour.

Ultimately, UPI hasn't just changed how Indians pay; it's changed how they relate to money day to day. It's a reminder that even small technological shifts can nudge behaviour in ways that are easy to miss. The real challenge going forward isn't adopting digital payments; it's learning to use them thoughtfully, without losing sight of financial discipline along the way.

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